

Expanded Fraud Risk Profile Specific to ABC Ltd. (Kenya Dairy & Beverages)

Common frauds in this setup:

1. **Collusion with suppliers/farmers/transporters** — Kickbacks for inflated prices, fake deliveries, or accepting adulterated milk (water, starch, urea, detergents added at farm/chilling station level).
2. **Under-delivery/short receipts** — Tankers arrive with less milk (siphoned en route), fake GRNs issued.
3. **Ghost/fake suppliers** — Shell companies owned by employees/relatives, billing for non-existent milk/ingredients.
4. **Bid rigging/quote manipulation** — Middle management in Nakuru fabricates quotes, awards to favorites.
5. **Product substitution/adulteration acceptance** — Low-quality sugar/flavors/milk powder accepted for bribes.
6. **Split purchases** — Breaking high-value buys below thresholds to avoid quotes/CFO approval.
7. **Over-invoicing + under-delivery combo** — Invoice for 10,000L milk but receive 8,000L.
8. **Related-party dealings** — Relatives own chilling stations or transport firms.
9. **Cash payments to transporters/farmers** — Skimming from petty cash.
10. **Fake quality rejections** — Reject good milk to buy cheaper elsewhere or favor supplier.
11. **Tanker diversion** — Company/hired tankers sell milk informally en route.
12. **Inventory/ingredient fraud spillover** — Procuring excess to hide theft at plant.
13. **Emergency/single-source abuse** — Claiming "urgent" for perishables to bypass competition.

Detailed SOPs for Procurement/Purchasing Department

1. Requisition Process (Initiation & Approval)

- **All requisitions** raised only by authorized user departments (Production for milk/ingredients, Maintenance for spares, Admin for office supplies).

- Requisition form (digital in ERP or locked template): Include item description, quantity, estimated cost, delivery location (Nakuru plant or specific chilling station), justification, urgency level.
- **Department head approval** mandatory; for >KES 50,000, second approval from Nakuru Plant Manager.
- **CFO pre-approval** for all milk procurement requisitions (daily/weekly bulk) and any >KES 100,000.
- No verbal requisitions; all logged sequentially with auto-timestamp.
- **Anti-fraud:** System flags if same item requisitioned multiple times in short period (split buying). CFO reviews weekly requisition trends vs. production plan.

2. Supplier Selection & Pre-Qualification

- **Mandatory pre-qualification database** maintained by Finance (not Procurement): All vendors submit KRA PIN, business registration, bank letter confirming account, physical address proof, references from 2 other dairy firms.
- **Site visits mandatory** for milk suppliers, transporters, chilling station operators: Team of Procurement Officer + Finance Rep + Quality Inspector (from Nakuru). Document photos, GPS coordinates, capacity assessment.
- **For milk procurement** — Suppliers must have valid Dairy Board registration, chilling equipment calibration certs, hygiene licenses. Transporters: Tanker registration, calibration certs (KESRA weights & measures), driver background check.
- **Minimum 3 competitive quotes** for all purchases >KES 100,000 (or >KES 50,000 for milk/ingredients). Quotes submitted sealed/digital, opened in presence of Procurement + Finance witness.
- **No single-vendor justification** without CFO written approval + documented evidence (e.g., sole supplier letter, market survey showing monopoly).
- **Annual vendor performance scorecard** — Quality, delivery timeliness, price stability, complaints. Poor performers blacklisted after warning.
- **Anti-fraud:** Rotate quote requesters; ban related-party suppliers (employee/family declaration mandatory annually). Anonymous tip line for suppliers to report irregularities.

3. Purchase Order (PO) Issuance

- **PO system-generated**, sequential numbering, auto-populated from approved requisition + selected quote.
- No manual/handwritten POs; any override requires CFO digital sign-off + audit trail note.
- PO must specify: Exact quantity, quality specs (e.g., milk fat %, temperature on arrival <4°C), delivery point/time, tanker details (reg no., driver name), penalties for short/under-quality.
- For tankers: PO includes calibrated volume, seal number requirement, GPS tracking mandate for hired tankers.
- Copies to: Stores/Receiving (Nakuru), Quality, Finance, Transporter.
- **Anti-fraud**: PO amendments only with CFO approval; system locks after issuance.

4. Receipt of Goods / Milk Intake (GRN Process)

- **Independent receiving team** at Nakuru plant + each major chilling station: Not Procurement staff. Includes Quality Inspector + Stores Officer + Finance spot-check rep (rotating).
- **For milk tankers:**
 - On arrival: Check seal intact, GPS log, temperature log (data logger mandatory in tankers).
 - Random sampling: Test for adulteration (lactometer, organoleptic, rapid urea/starch tests on-site; lab for full if suspicious).
 - Weigh/measure: Calibrated weighbridge/digital flow meter; compare with supplier dispatch note + PO.
 - If discrepancy >1%: Immediate hold, notify CFO + Nakuru Plant Manager. Reject + document photos/video.
- GRN: Signed by Receiver + Quality + Stores; digital upload with photos (tanker, seals, sampling).
- Partial deliveries: Pro-rated GRN; full only on completion.
- **Anti-fraud**: CCTV at intake points (monitored from Nairobi); surprise visits by CFO team; rotate receiving staff quarterly.

5. Invoice Processing & Verification

- **Strict 3-way match:** PO + GRN + Invoice by Accounts Payable (independent from Procurement).
- Discrepancies (quantity, price, quality): Auto-flag to CFO; hold payment until resolved.
- For milk: Match liters received vs. invoiced; quality parameters vs. contract.
- Invoice must have supplier bank details matching vendor master.
- **Anti-fraud:** No post-dated invoices; monthly aging report to CFO.

6. Payment Process

- **Bank transfer only** (EFT/RTGS); no cash >KES 10,000 ever (even for small farmers—use mobile money with audit trail).
- **Dual signatory:** CFO + designated senior (CEO or Finance Manager); high-value (>KES 500,000) requires my (Owner) email confirmation.
- Vendor bank details locked in system after initial verification (bank letter + first small test payment).
- **Anti-fraud:** No advances without CFO approval + security (e.g., bank guarantee for transporters). Reconcile payments vs. GRNs monthly.

7. Vendor Statement Reconciliation & Monitoring

- **Monthly reconciliation** by Finance (not Procurement): Supplier statement vs. company records; investigate variances immediately.
- **Price trend monitoring:** CFO dashboard compares unit prices vs. market benchmarks (KDB reports, industry indices); flag >5% deviations.
- **Vendor rotation policy:** No single supplier >40% of category volume without justification; rotate transporters quarterly where possible.
- **Anonymous supplier feedback channel:** Third-party hotline/email; complaints trigger investigation.

8. Additional Controls for High-Risk Areas (Milk-Specific)

- **Tanker tracking:** GPS mandatory on all company/hired tankers; real-time monitoring from Nairobi. Alerts for route deviations/stoppages >15 min.
- **Chilling station procurement:** If buying from private chilling stations, treat as high-risk vendors—extra site audits, volume cross-check with farmer lists.

- **Quality assurance integration:** Procurement cannot override quality rejection; quality reports copied to CFO.
- **Emergency procurement:** Limited to 10% of monthly volume; post-facto justification + quotes within 7 days.
- **Conflict of interest declarations:** All Procurement staff + Nakuru middle managers declare relatives/suppliers annually; update on changes.
- **Training & awareness:** Quarterly fraud awareness sessions (case studies from Kenya dairy scandals); sign code of conduct.
- **Audits:** Monthly surprise procurement audit by internal team (reporting to CFO); quarterly forensic review of high-value categories.

9. Documentation, Records & Escalation

- All docs scanned/uploaded to ERP/cloud (with timestamps, user logs).
- Retention: 7 years minimum.
- Escalation matrix: Any red flag (discrepancy, tip, trend) to CFO within 24 hours; serious to me directly.
- Whistleblower protection: Anonymous, no retaliation; reward for proven tips (up to KES 100,000).

Implement this ruthlessly. In 3-6 months, procurement leakages will drop 70-80%—. Track KPIs: % competitive bidding, variance %, rejected loads %, savings vs. benchmark.

Report monthly variances and actions. If resistance from Nakuru middle management, replace without hesitation.